



SPONSOR: Rep. Yearick & Sen. Buckson
Sen. Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 99

AN ACT TO AMEND TITLE 30 OF THE DELAWARE CODE AND CHAPTER 118 OF VOLUME 83 OF THE LAWS OF DELAWARE RELATING TO PERSONAL INCOME TAXES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 1117, Title 30 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1117. Earned income tax credit.

(a) (1) For any tax year beginning before January 1, ~~2022~~ 2021, an individual who is a resident of this State may receive a nonrefundable credit against the individual's tax otherwise due under this chapter in the amount of 20% of the corresponding federal earned income credit allowed under § 32 or successor provision of the Internal Revenue Code (26 U.S.C. § 32).

(2) For any tax year beginning on or after January 1, ~~2022~~ 2021 and before January 1, 2025, an individual who is a resident of this State may receive a credit against the individual's tax under this chapter in an amount based on a percentage of the corresponding federal earned income credit allowed under § 32 or successor provision of the Internal Revenue Code (26 U.S.C. § 32). The individual may claim either of the following amounts:

a. 20% of the corresponding federal earned income tax credit, not to exceed the tax otherwise due under this chapter.

b. 4.5% of the corresponding federal earned income tax credit, of which the amount that exceeds the tax otherwise due under this chapter is refundable.

(3) For any tax year beginning on or after January 1, 2025, an individual who is a resident of this State may receive a credit against the individual's tax under this chapter in an amount based on a percentage of the corresponding federal earned income credit allowed under § 32 or successor provision of the Internal Revenue Code (26 U.S.C. § 32). The individual may claim 20% of the corresponding federal earned income tax credit.

(b) In the case of spouses who file a joint federal return but who elect to determine their Delaware taxes separately, the credit allowed under subsection (a) of this section may only be used by the spouse with the greater tax otherwise due, computed without regard to this credit.

(c) The credit allowed under paragraph (a)(1) of this section may not exceed the tax otherwise due under this chapter.

Section 2. Amend § 2, Chapter 118, Volume 83 of the Laws of Delaware by making deletions as shown by strikethrough and insertions as shown by underline as follows:

Section 2. This Act takes effect on January 1, 2021. ~~The date of the last of the following to occur:~~

~~(1) The Division of Revenue has implemented the personal income tax release of the Integrated Revenue Administration System.~~

~~(2) The Secretary of Finance provides a written notice to the Registrar of regulations that the contingency in paragraph (1) of this section has been fulfilled.~~

SYNOPSIS

This Act increases the refundable earned income tax credit to 20% of the corresponding federal earned income tax credit for tax years beginning on or after January 1, 2025, and clarifies that a previously enacted refundable earned income tax credit of 4 1/2% of the corresponding federal earned income tax credit took effect for tax years beginning on or after January 1, 2021.